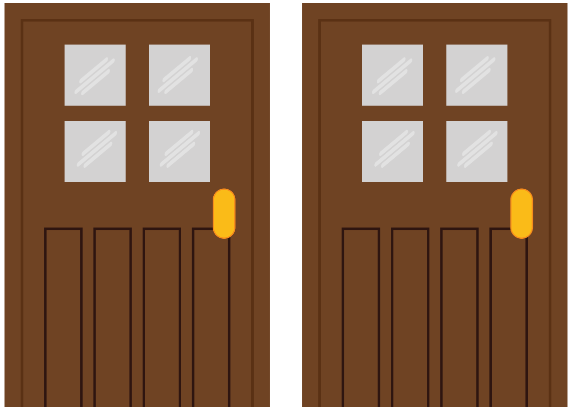
TIME OF EACH CANDLE

The very first thing that we will do is, determine the period that will be reflected in each candlestick. We saw that each candlestick can depict a variable time frame – ranging from a few minutes to even a month.

We will match the time period in each candle with the average trade period we are looking at. If we are looking at intraday trading (buying and selling within the same day), we will mostly deal with candles with a time period of 5-15 minutes. For a few days, it is 1-day candles. For holding 1-2 months, we can use daily or weekly candles. Monthly candles are used when the time frame is even longer – more than 3 months.



ENTRY STRATEGY

The next thing that we will determine for every strategy is its entry point. We have to identify the circumstances under which we would want to enter the trade if we decide to opt for the same. The fewer decisions to make, the better it is. For instance, let's say we are to make an entrance if there is an engulfing bear if the price next day opens lower than the engulfing bear candle's close. We will try to be as specific as possible and with time, we will fine-tune our entry strategy to make our trades even more efficient.